

MARKET ANALYSIS

SL Green's Guidance Looks Like a Demand Story. It's a Supply Story.

The REIT's 26% earnings bump reveals a market where scarcity, not tenant exuberance, is setting terms.

July 24, 2026 · The Real Deal · 4 min read

A source-grounded Light Tower Insight. The complete note follows.

SL Green raised its full-year earnings guidance by \$1.20 per share, a 26% increase. The headline reads as a demand story: tenants are back, leasing is surging, and the city's biggest office landlord is cashing in.

That is not wrong. But it is incomplete.

The real signal in SL Green's second-quarter earnings call is not that tenants want space. It is that the supply of the space they want is shrinking faster than anyone modeled, and that scarcity, not demand, is now the dominant pricing mechanism in Midtown's Class A market.

CEO Marc Holliday said it plainly: "A growing scarcity of premier space in desirable Midtown districts has turned the tables in our favor." That is not a boast about leasing velocity. It is a statement about inventory math.

Consider the mechanics. The REIT signed 53 leases for 445,000 square feet in Q2, and 51 leases for 929,000 square feet in Q1. That is roughly 1.37 million square feet in six months. Strong, but not unprecedented. What is unprecedented is the supply side: no new office construction of scale is delivering in Midtown. Meanwhile, older buildings are being converted to residential, permanently removing office inventory from the market. Every conversion is a supply cut that concentrates demand on the remaining stock.

The result is a market where the landlord does not need to compete on rent to fill space. It competes on availability. SL Green is now recapturing space from expanding tenants at One Vanderbilt and re-leasing it at higher rents. That is not a sign of tenant desperation. It is a sign that the building has become a bottleneck. The REIT has already recouped its investment in the tower, meaning every dollar of rent from here is pure profit flowing to the bottom line. That is the economics of scarcity, not demand.

The AI-driven tech lease at 11 Madison Avenue, a 100,000-square-foot deal with an unnamed "leading artificial intelligence company," fits the same pattern. The tenant is not paying a premium because it loves the view. It is paying a premium because there are almost no blocks of 100,000 square

feet available in Class A Midtown buildings that meet modern specifications. The landlord sets the terms.

This is the mechanism that matters for every owner, lender, and investor watching the Manhattan office market. The conventional wisdom has been that office values will recover only when demand returns. SL Green's guidance suggests a different path: values can recover when supply contracts enough to make the remaining space irreplaceable. That is a slower, more structural recovery, but it is also more durable. Demand can fade. Supply constraints do not.

The tension in this story is between the narrative of a demand resurgence and the reality of a supply-driven repricing. Holliday attributed the momentum to "an extraordinary, prolonged surge in business activity" and said the financial services sector is performing "as well as I've ever seen it." That is true. But it is also true that the same leasing volume in a market with new supply would not produce the same rent growth or earnings lift. The scarcity is doing as much work as the demand.

For lenders underwriting office loans, the implication is clear: basis matters more than occupancy assumptions. A building in a submarket with no new supply and active conversions has a structural bid. A building in a submarket with available inventory does not, regardless of how strong the macro economy is. The bifurcation is not between Class A and Class B. It is between irreplaceable and fungible.

For owners with maturing debt, the clock is not the same for everyone. An owner of a Midtown tower with limited competing supply has time. The lender knows the asset will lease. The question is at what rent. An owner of a building in a submarket with available space faces a different math: the lender must underwrite a lease-up timeline that depends on demand, not scarcity, and demand is harder to predict.

SL Green's guidance is not a signal that the office market is back. It is a signal that the office market is bifurcating along supply lines, and that the landlords who control the irreplaceable inventory will capture the scarcity premium. The rest will wait.

The next thing to test is whether this scarcity premium is already priced into asset values or whether it still has room to run. If SL Green's stock is already pricing in the full benefit of supply constraints, the upside is limited. If the market is still underwriting a demand recovery that has not fully materialized, the scarcity premium is a free option. The earnings call suggests the latter. The market will decide.

SOURCES

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<https://therealdeal.com/new-york/2026/07/23/sl-green-cashes-in-on-manhattan-office-rebound/>

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